THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
SPECIAL BENCH (COURT-II)

(CAA)-102/ND/2021

Connected with CA (CAA)-18/ND/2021

IN THE MATTER OF SCHEME OF AMALAGAMATION

OF

Saransh Buildcon Private Limited
...(Petitioner CompanyNo.1/Transferor Company No.1)

AND

Jainsons Rugs International Private Limited
...(Petitioner Company No.2/Transferor Company No.2)

AND

MYS Infrastructure Limited
...(Petitioner Company No.3/Transferor Company No.3)

AND

YMS Foods Limited
...(Petitioner Company No.4/Transferor Company No.4)

AND

Servitude HR Solutions Private Limited
...(Petitioner Company No.5/Transferor Company No.5)

WITH

Lawmax Merchant Services Private Limited
...(Petitioner Company No.6/Transferee Company)

AND

Their respective Shareholders

Order Delivered on: 30.05.2022

Section 230 To 232 of the Companies Act, 2013

CORAM:

DR. P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)
SH. L. N. GUPTA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Petitioner	:	PCS Sanchita Bharadwaj
For the RD	:	Ms. Shankari Mishra, Adv.
For the IT Dept.	:	Mr. Vibhooti Malhotra and Mr Shailendra Singh, Advs.
For the OL	:	Ms. Hemlata Rawat

ORDER

PER SHRI L. N. GUPTA, MEMBER (T)

This Company petition has been jointly filed by the Applicant Companies under the provisions of Section 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements & Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016 for the purpose of approval of Scheme of Amalgamation (for brevity **"the Scheme"**) of Transferor Companies into Transferee Company, which shall take effect from the Appointed Date of 01.04.2020.

2. A perusal of the Company Application reveals that the First Motion application was filed before this Tribunal vide CA(CAA)-18/ND/2021 under Sections 230-232 of the Companies Act, 2013 and vide Order dated 30.07.2021, directions were issued by this Tribunal, whereby the meetings of the Equity Shareholders and Unsecured Creditors of all the Applicant Companies were dispensed with. Further, there were no Secured Creditors in any of the Applicant Companies.

3. Thereafter, the 2nd Motion Application has been filed vide (CAA) No.102/(ND)/2021on 27.08.2021 beyond the prescribed time limit. The applicants prayed for condonation of delay of 17 days due to non- completion of the financial statement of the company. The prayer for condonation of delay of 17 days was allowed vide Order dated 16.09.2021 of this Bench.

4. Further, vide Order dated 17.09.2021, the petitioners were directed to carry out publication in the newspapers 'Business Standard (English Delhi Edition) and "Business Standard" in (Hindi, Delhi Edition). In addition to the public notices, notices were directed to be served on to the Central Government through Regional Director (Northern Region), Registrar of Companies (NCT of Delhi and Haryana), Official Liquidator, the Income Tax Department (New Delhi) and to the other relevant sectoral regulators.

5. It is seen from the records that the Applicant Companies have filed Affidavit dated 29.10.2021, affirming compliance of the Order dated 17.09.2021 passed by this Tribunal. A perusal of the affidavit discloses that the applicant companies have effected newspaper publication as directed in the Business standard (English Edition) and Business Standard (Hindi Edition) in their issues dated 29th September 2021 respectively. The copy of original Publication of the newspapers is annexed. Further, the Applicant Companies have affirmed that the copy of the Application has been duly served upon the Registrar of Companies, Regional Director (Northern Region), Official Liquidator, Income Tax Department. It has further clarified that there are no other sectoral authorities to whom Notice is to be served.

6. The Official Liquidator has filed its Report dated 11.11.2021, wherein it is stated that no complaint against the proposed Scheme of Amalgamation from any person/party interested in the Scheme in any manner till the date of filing of the said report has been received. The scanned copy of the relevant portion of the OL's Report is reproduced below:

19. That as per clause 11 of the Scheme, the Authorised Share Capital of the Transferor companies shall be combined with the Authorised Share Capital of the Transferee Company.

20. That in Company Application No. CA(CAA) 18(ND)/2021, Hon'ble National Company Law Tribunal vides its order dated 30.07.2021 pleased to dispensed with the requirement of conveying all the meetings of shareholders of the Transferor Companies and Transferee Company and secured & unsecured creditors of the Transferee Company.

21. That the Official Liquidator has not received any complaint against the proposed Scheme of Amalgamation from any person/party interested in the Scheme in any manner till the date of filing of this Report.

22. That the report of Official Liquidator is based upon the documents/reply submitted by the petitioner companies. Balance sheet, Memorandum and Article of Association and other

documents furnished by the petitioner companies has not been enclosed with the report as the same are already on records of National Company Law Tribunal.

23. That the Official Liquidator on the basis of information submitted by the Petitioner Companies is of the view that the affairs of the aforesaid Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act, 1956 / the Companies Act, 2013 whichever is applicable.

24. That in view of the submission made above the Hon'ble National Company Law Tribunal may like to pass such order/orders as deemed fit and proper in the facts and circumstance of the case.

PLACE: NEW DELHI
DATE: // /11/2021

(VINOD SHARMA)
OFFICIAL LIQUIDATOR
DELHI HIGH COURT

7. The Regional Director (Northern Region) has filed an Affidavit dated 13.12.2021 setting out facts of the case and the observations received from the ROC vide reports dated 07.06.2021 and 08.11.2021. Further, it is stated that as per the report dated 07.06.2021, ROC had raised certain objections to the Scheme. The Applicant Companies then, sent a reply on 01.11.2021 to the objections raised by the ROC. The Regional Director has submitted its final report dated 13.12.2021 in which it has stated *"that it appears that the Scheme of amalgamation has been drawn in line with the provisions of Section 230-32 of the Companies Act, 2013."*

The scanned copy of the relevant portion of the report dated 13.12.2021 filed by the RD is reproduced below:

10.That as per the report of Registrar of Companies, both Transferor and the Transferee Company has filed its Annual Return and Balance Sheet up to 2019-20. No prosecution has been filed & no inspection or investigation has been conducted in respect of the Petitioner Companies.

11.That as per Clause 32 of the ROC Report dated 07.06.2021, following observation was raised: -

- It has been observed that the principal business of Saransh Buildcon Private Limited (Transferor Company No. 1) consists of dealing in real estate. However, its financial statement as at 31.03.2020 reflects that the short-term loans of Rs.30.42 lacs outstanding from Durgesh Merchants Limited in 2018-19 has been prima facie settled in the subsequent year (2019-20) against the loan amount of Rs.39.30 lacs advanced in 2018-19

(2019-20) against the loan amount of Rs.39.30 lacs advanced in 2018-19 to Shri. Kamal Ahuja is one of the directors in Saransh Buildcon Private Limited and Durgesh Merchants Limited, who also holds 97.3% & 21.27% shareholding in these companies respectively.

12. On examination of the contents of the scheme of Amalgamation scheme, the reply submitted by the Petitioner Companies and apart from the observations given in the report of the ROC stated in Para-32 of his report as enclosed herewith (stated above in para-11), it appears that the scheme of amalgamation has been drawn in line with the provisions of section 230-232 of the Companies Act, 2013. In view of the above it is prayed before the Hon'ble Tribunal to consider the sanction of the scheme on its merit.

The above submissions are made in para 1 to 12 above after having examined the scheme, reply of Petitioner companies and Registrar of Companies for kind consideration of Hon'ble NCLT for passing of orders as may be deemed fit and proper in the facts and circumstances of the case.

8. The Income Tax Department has filed Affidavit dated 26.03.2022 stating that no proceedings against the Transferor Company No.3 are pending. The scanned copy of the relevant portion of the Affidavit filed by the IT Department is reproduced overleaf:

Reply affidavit on behalf of the Income Tax Department

1. I, Avinash Kumar Verma in my capacity as, Income Tax Officer, Ward-16(3),in New Delhi Son of Late Sh. Kauleshwari Prasad Verma aged about 54 years, having my office at Room No. 304, CR Building, I P Estate in New Delhi, PIN-110002 do hereby solemnly affirm and state as under:

2. I am, in my official capacity as ITO, Ward-16(3) in New Delhi, well conversant with the facts and circumstances of the present Application, and the assessee company MYS Infrastructure PAN: AAHCB1673Q is under my jurisdiction and I am competent to swear the present affidavit for the Income Tax Department, which has been directed to file its report/reply.

3. It is stated that as per ITBA / e-filing database, no proceedings against MYS Infrastructure Limited PAN: AAHCB1673Q are currently pending.

4. No demand is outstanding against the aforesaid Appellant company.

5. It is also stated that the Appellant company has filed its last return of income for A.Y. 2020-21, after that no ITR has been filed by it.

9. On perusal of the proceedings of the case, it is observed that vide Order dated 29.03.2022, this Bench has noted that both the Counsels appearing for the RD and OL submitted that they do not have objections to the proposed Scheme of amalgamation. The Bench further noted that the IT Department filed report regarding the Transferor Company No. 3 only. Hence, last opportunity was granted to the IT Department to file a consolidated report as regards to all the Applicant companies.

10. That since the IT department failed to file its consolidated report despite opportunities, its right to file any further report was closed vide order dated 19.05.2022.

11. The Applicant Companies have affirmed that no proceedings for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 are pending against the Applicant Companies.

12. In view of the foregoing, upon considering the approval accorded by the members and creditors of all the Applicant Companies to the proposed scheme, as well as in terms of the reports filed by the regional director, (northern region), Income Tax Department and official liquidator and further considering the affidavit of Applicant Companies, there appears to be no impediment in sanctioning the present scheme. **Consequently, sanction is hereby granted to the scheme under section 230 & 232 of the Companies Act, 2013.** The Applicant Companies however remain duty bound to comply with the statutory requirements in accordance with law.

13. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the Scheme will not come in the way of action being taken, albeit, in accordance with law, against any of the concerned person, Director and officials of the Applicant Companies.

14. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes, GST, or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

16. **THIS TRIBUNAL FURTHER ORDER(S):**

a) That all the transferor companies shall stand dissolved without following the process of winding up; and

b) That all the property, rights and powers of all the transferor companies, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vets in the transferee company.

c) That all the liabilities and duties of the all transferor companies, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and

d) That all proceeding now pending by or against the transferor company, be continued by or against the transferee company; and

e) That all the employees of all the transferor companies in service, on the date immediately preceding the date on which

the scheme takes effect, i.e., the effective date shall become the employees of the transferee company on such date without any break or interruption in services and upon terms and conditions not less favorable than those subsisting in the respective transferor companies on the said date.

f) That Applicant Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered all the transferor companies shall stand dissolved and the Registrar of Company shall place all documents relating to all the transferor company registered with him on the file kept by him in relation to the transferee company and the files relating to all the Applicant companies shall be consolidated accordingly; and

g) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

16. The Applicant is allowed in the above terms.

Sd/-

(L. N. Gupta)
Member (T)

Sd/-

30/3/2022

(P. S. N. Parsad)
Member (J)

Since the Hon'ble Judicial Member Dr. P.S.N. Prasad is taking another Court, with his consent, the pronouncement of the Order is made under Rule 151 of the NCLT Rules, 2016 in the open Court today i.e., on 30.05.2022 on behalf of the Bench.

(T. S. Singh)
Court Officer